

Fearnleys Dry Bulk Weekly

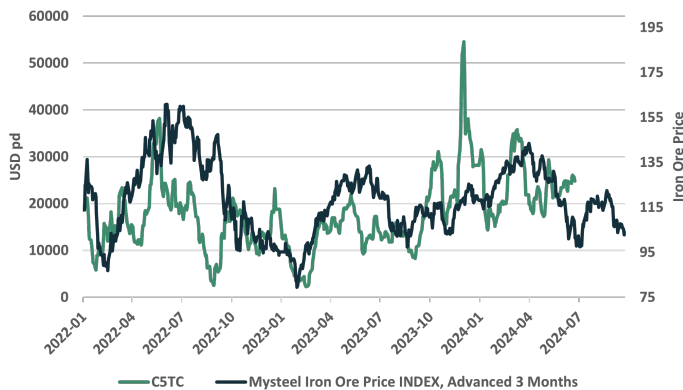
Jun 26, 2024

Bernhard Baardson

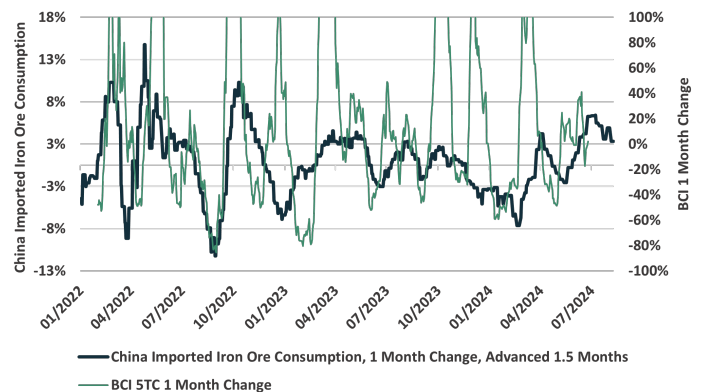
Capesize/Newcastlemax

One month ago in this report, we pointed to the near record high number of laden vessels positioned in the Atlantic headed to the Far East. The market has been unusually flat since then, although a slight upwards trend can be discerned. The armada of vessels headed to the Far East has moved closer, with the count now near a record high in the Indian Ocean (and down noticeably in the Atlantic). This means all these vessels are tied up for roughly one more month, which could mean the market will soften from the beginning of August onward, as suggested in last week's report. The steel and iron ore price leads as well as China's imported iron ore consumption lead gives the same indication. Before August, there is plenty of upside potential, as along with the mentioned fleet positioning situation, Brazilian iron ore exports are not yet at the seasonal peak.

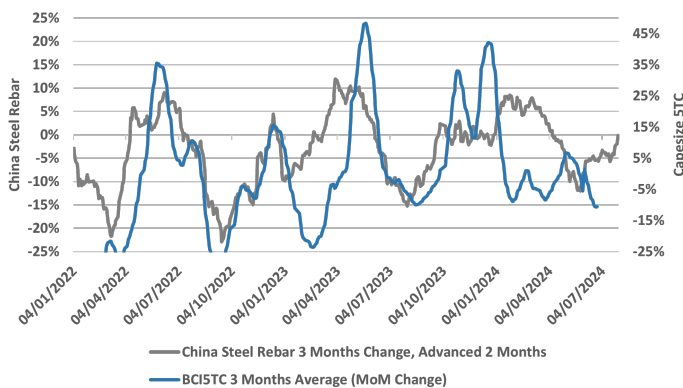
Iron Ore Price, Moved 3 Months Forward vs Capesize 5TC



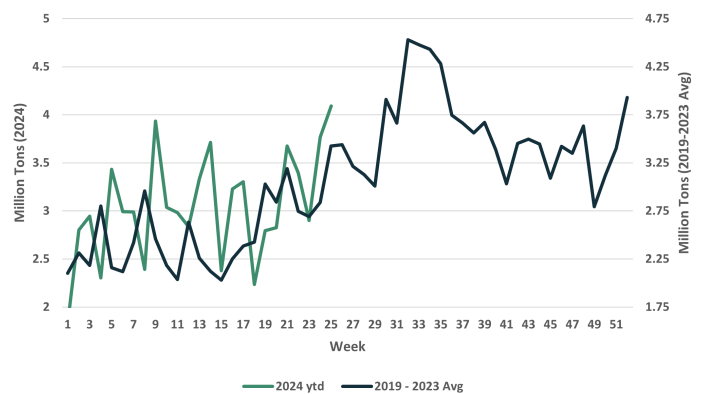
China Imported Iron Ore Consumption, 1 Month Change, Moved 1.5 Months Forward vs Capesize 5TC 1 Month Change



China Steel Rebar 3 Months Change (Moved 1 Month Forward) vs BCI5TC 3 Months Average (Month on month change)



Capesize/Newcastlemax Brazil Export Seasonality



Panamax/Kamsarmax

In our previous report last week, we wrote the following:

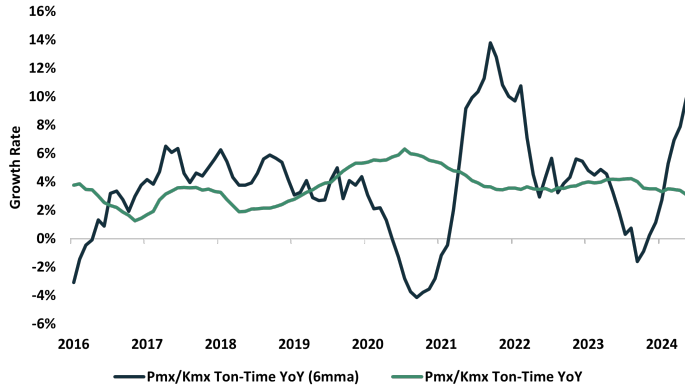
No change to the outlook this week:

- The top left chart shows the seasonality of Asian coal shipments, which points to higher volumes the coming 1-2 months.
- The Black Sea grain volumes should start increasing within the next week or two.
- Like in the Capesize segment, a significant share of the fleet is laden in the Atlantic, and headed towards the Pacific.
- So, we expect the upturn to continue in the coming weeks.

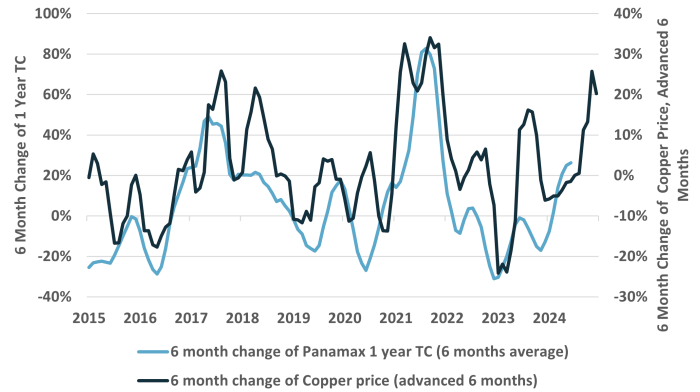
The increased rainfall in China along with rains in Indonesia put a stop to the rally, with the Indonesia - China round voyage dropping by 2000 USD pd week on week.

Fundamentals are otherwise firm, with ton-time growth at 10% in May against fleet growth of 3.1%. This should mean that downside from current levels is limited, especially as the Kamsarmax index have dropped below the Supramax index.

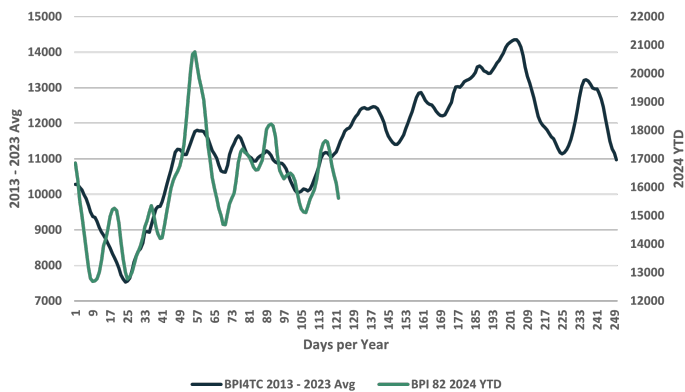
Panamax / Kamsarmax Ton-Time Growth vs Supply Growth



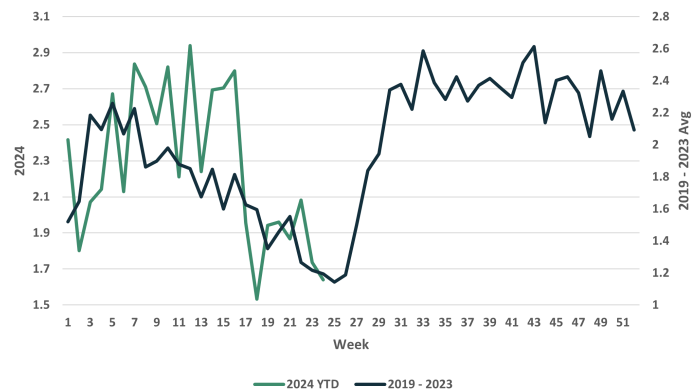
Copper Price Lead vs Panamax 1 Year TC



Panamax/Kamsarmax Seasonal Average Market Movement



Handysize - Kamsarmax Black Sea Grains Shipment Seasonality



Supramax/Ultramax

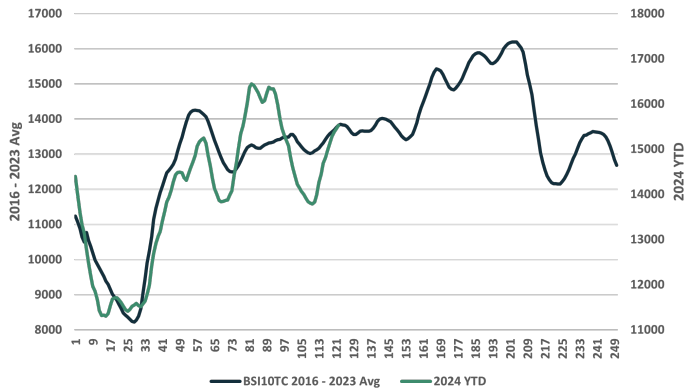
The market has rallied back to where average seasonality "says it should be". Going forward, seasonality suggest sideways around current levels for a month, then up to year-to-date highs.

Fundamentals are supportive:

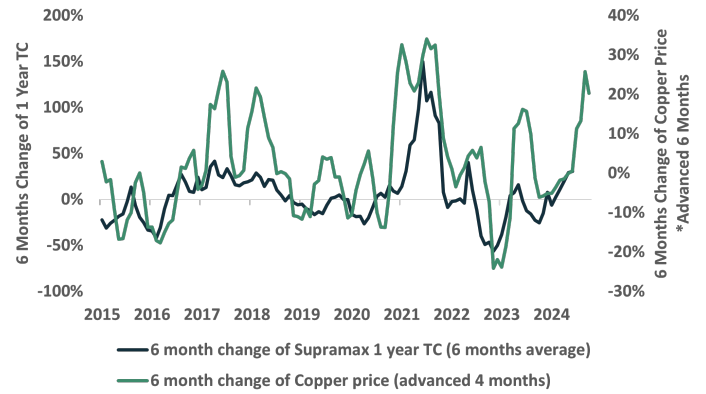
- Ton-time growth was 8% in May, against fleet growth of 4.5%.
- The displayed copper price lead suggest further upwards movement in 1-year time charter rates the next months.
- Rumors are that the surging container rates are starting to impact the Handysize and Supramax segments.



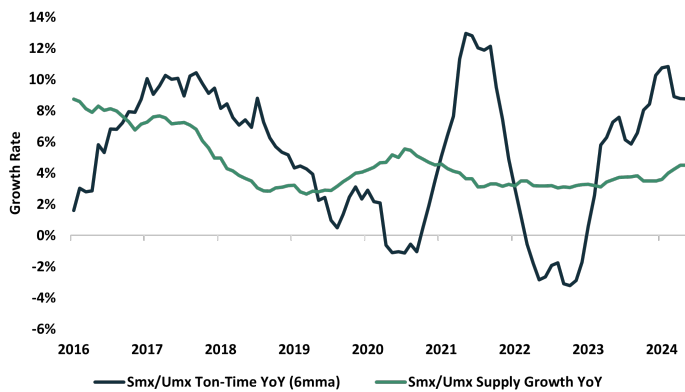
Supramax Seasonal Market Movement



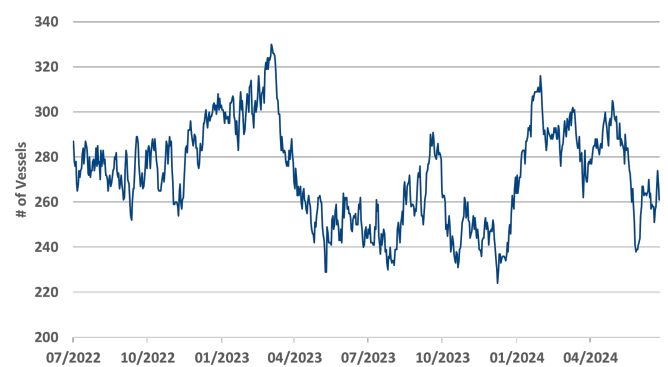
Copper Price Lead vs Supramax 1 Year TC



Supramax / Ultramax Ton-Time Growth vs Supply Growth



Supramax / Ultramax Heading to the North Atlantic / Europe Continent





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